

## **complaint**

Mr D complains that Kwik-Fit Insurance Services Ltd sold him a home insurance policy which didn't include cover for storm damage, even though it told him it did cover that.

## **background**

Mr D said that his house was damaged in a storm. But when he tried to claim on his insurance, he found out he wasn't covered for storm damage. He said he'd specifically checked with Kwik Fit that he was covered for storm damage when he took the insurance out. He thought the insurance had been mis-sold.

Kwik-Fit said it accepted that Mr D had been given some wrong information when he took out his insurance, and it was sorry about that. It said that it would send a loss adjuster out to look at the damage, and if it was storm damage, Kwik Fit said it would pay for the repairs. But when Kwik Fit got the report from the loss adjuster, it said that there wasn't any evidence of storm damage on the outside of the building, and the damage on the inside looked like it had been happening for a long period of time. So Mr D wouldn't have been able to claim under his policy anyway.

Our adjudicator said that he couldn't consider whether Kwik Fit had acted fairly when it decided not to pay Mr D for the damage to his house, because that was outside the scope of what this service can look at. He thought that the £100 Kwik Fit had paid Mr D was enough compensation to make up for its mistake.

Mr D said he still thought that the damage was caused by a storm. He sent us a letter from a surveyor who'd also looked at the damage.

Because Mr D didn't agree with our adjudicator, the case was passed to me for a final decision.

## **my findings**

I've considered all the available evidence and arguments to decide what's fair and reasonable in the circumstances of this complaint. I've reached the same conclusion as our adjudicator, although for slightly different reasons.

I think there's been some confusion about what this service can and can't consider, so I'll set out how we look at this sort of complaint as I go.

Mr D said Kwik Fit mis-sold him insurance. He wanted insurance with storm cover, and Kwik Fit told him that's what he was getting. But he wasn't. Kwik Fit accepts that.

When insurance is mis-sold, I have to think about whether the policyholder is actually worse off because of that. In this case Mr D claimed for storm damage, and was told he had no cover for that. So I have to think about whether Mr D's claim would've been paid, if he'd had the insurance he wanted.

Kwik Fit said that the damage to Mr D's house wasn't caused by a storm. It said that there were a few areas on the roof that needed repair, but it thought that these were things that had gone wrong over time, not things that were caused by a storm. So Kwik Fit thought that even if Mr D had insurance which covered him for storm damage, he wouldn't have been

able to claim for this damage. Kwik Fit said Mr D wasn't actually any worse off because of the mistake it had made.

Mr D said that his builder said the roof was storm damaged, and that the inside of the house was damaged "*due to felt being blown off and letting in water*". So Mr D said the damage was caused by a storm. He thought Kwik Fit should've paid him for the repairs he had to do.

There are limits on what this service can consider. But we can consider whether Mr D is worse off because of the mistake Kwik Fit made. I have to look at that to decide whether the compensation Kwik Fit offered Mr D is enough to make up for the mistake it made. So I think that means I can consider what Kwik Fit said about the cause of damage to Mr D's house.

Kwik Fit told Mr D that it wouldn't be able to consider the information he supplied about the cause of the damage, because it was just from a builder. I do think I can take this into account. And Mr D also got a surveyor to look at the damage. He sent us a letter from that surveyor, which said "*I refer to our meeting on site this morning, and my inspection of the storm damage to the roof of the dormer window at the above address. I would confirm that the quotation supplied by [Mr B's builder] appears to include for all the works which can be assumed to be required, and that the costs proposed are proportionate and fair.*"

I've looked at all the information Mr D sent us about the cause of the damage. I've also looked closely at the report that Kwik Fit provided, and in particular at the pictures of the house that are included in that report. I can't see any missing tiles, or anything else that I would normally expect to see as part of storm damage. I can't see any areas where felt has been blown off the roof.

It's always difficult to make a decision on what has happened when there are different reports from different parties. But in this case, I think the photos tend to support what Kwik Fit has said about the likely cause of the problem. On balance, it is more likely that the problems Mr D has experienced with water coming into his house have been caused by things going wrong with his roof over time, not by storm damage. That means it's most likely that Mr D wouldn't have been able to claim on his insurance for this damage even if he'd got the cover he wanted. So, although Kwik Fit did make a mistake when it sold him this insurance, he isn't any worse off because of that.

Because I don't think Mr D is actually any worse off, I think the amount of compensation Kwik Fit has already paid Mr D is enough to make up for the mistake it made. The amount is in line with what I would award in a similar case.

I know Mr D will be disappointed, but I don't uphold this complaint.

### **my final decision**

I don't uphold this complaint.

Under the rules of the Financial Ombudsman Service, I'm required to ask Mr D to accept or reject my decision before 22 July 2016.

Esther Absalom-Gough  
**ombudsman**